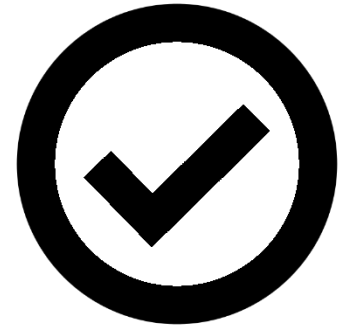




**BUSINESS  
PROFESSIONALS**  
of **AMERICA**  
Giving Purpose to Potential



# ADVANCED COLLEGE ACCOUNTING (115)

## STATE 2021

### CONCEPT KNOWLEDGE:

|                                      |                   |
|--------------------------------------|-------------------|
| Multiple Choice (15 @ 2 points each) | _____ (30 points) |
| True/False (10 @ 1 point each)       | _____ (10 points) |

### APPLICATION KNOWLEDGE:

|                            |                                  |
|----------------------------|----------------------------------|
| Short Answer               | _____ (42 points)                |
| Job 1: Journal Entries     | _____ (112 points)               |
| Job 2: Bank Reconciliation | _____ (52 points)                |
| Job 3: Balance Sheet       | _____ (120 points)               |
| <b><i>TOTAL POINTS</i></b> | <b><i>_____ (366 points)</i></b> |

**Test Time: 90 minutes**

### **GENERAL GUIDELINES:**

*Failure to adhere to any of the following rules will result in disqualification:*

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

### **EXAM GUIDELINES:**

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should ***not*** appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

**Multiple Choice: 2 points each**

1. C
2. D
3. A
4. D
5. A
6. B
7. D
8. C
9. D
10. C
11. A
12. C
13. A
14. C
15. B

**True (A)/False (B): 1 point each**

1. A
2. A
3. B
4. B
5. A
6. B
7. B
8. B (Income Statement)
9. B
10. A

**Short Answer: 2 points each answer (42 Points)**

1. ADJUSTING ENTRIES (16 points; 1 point for each account and each amount).

| General Journal |                             | Page 32        |                |
|-----------------|-----------------------------|----------------|----------------|
| Letter          | Description                 | Debit          | Credit         |
| <b>A</b>        | <b>SUPPLIES</b>             | <b>599</b>     |                |
|                 | <b>SUPPLIES EXPENSE</b>     |                | <b>599</b>     |
| <b>B</b>        | <b>COGS</b>                 | <b>7,868</b>   |                |
|                 | <b>INVENTORY</b>            |                | <b>7,868</b>   |
| <b>C</b>        | <b>DEPRECIATION EXPENSE</b> | <b>263,250</b> |                |
|                 | <b>ACC. DEP - EQUIPMENT</b> |                | <b>263,250</b> |
| <b>D</b>        | <b>INSURANCE EXPENSE</b>    | <b>74,700</b>  |                |
|                 | <b>PREPAID INSURANCE</b>    |                | <b>74,700</b>  |

2. STOCK ENTRIES (14 points; 1 point for each account and each amount).

| General Journal |                                   | Page 32           |                  |
|-----------------|-----------------------------------|-------------------|------------------|
| Letter          | Description                       | Debit             | Credit           |
| <b>A</b>        | <b>CASH</b>                       | <b>17,875,000</b> |                  |
|                 | <b>COMMON STOCK</b>               |                   | <b>8,250,000</b> |
|                 | <b>ADDITIONAL PAID IN CAPITAL</b> |                   | <b>9,625,00</b>  |
| <b>B</b>        | <b>CASH DIVIDENDS</b>             | <b>737,000</b>    |                  |
|                 | <b>DIVIDENDS PAYABLE</b>          |                   | <b>737,000</b>   |
| <b>C</b>        | <b>DIVIDENDS PAYABLE</b>          | <b>737,000</b>    |                  |
|                 | <b>CASH</b>                       |                   | <b>737,000</b>   |

## 3. ACCOUNTS RECEIVABLE (12 points; 1 point for each account and each amount).

**General Journal**

Page 32

| Letter   | Description                          | Debit         | Credit        |
|----------|--------------------------------------|---------------|---------------|
| <b>A</b> | <b>BAD DEBT EXPENSE</b>              | <b>3,945</b>  |               |
|          | <b>ALLOWANCE FOR DOUBTFUL ACCTS.</b> |               | <b>3,945</b>  |
|          |                                      |               |               |
| <b>B</b> | <b>BAD DEBT EXPENSE</b>              | <b>3,345</b>  |               |
|          | <b>ALLOWANCE FOR DOUBTFUL ACCTS.</b> |               | <b>3,345</b>  |
|          |                                      |               |               |
| <b>C</b> | <b>BAD DEBT EXPENSE</b>              | <b>16,808</b> |               |
|          | <b>ALLOWANCE FOR DOUBTFUL ACCTS.</b> |               | <b>16,808</b> |
|          |                                      |               |               |

**Job #1: Journal Entries** (2 points each account and amount, no points for date; 112 total points)

|          | <b>JOURNAL</b>               |           |           |
|----------|------------------------------|-----------|-----------|
| DATE     | ACCOUNT DESCRIPTION          | DEBIT     | CREDIT    |
| <b>A</b> | CASH                         | 784,295   |           |
|          | DISCOUNT ON BONDS PAYABLE    | 15,705    |           |
|          | BONDS PAYABLE                |           | 1,000,000 |
| <b>B</b> | ACCOUNTS RECEIVABLE          | 121,210   |           |
|          | SALES                        |           | 120,000   |
|          | CASH                         |           | 1,210     |
| <b>C</b> | CASH                         | 118,810   |           |
|          | SALES DISCOUNT               | 2,400     |           |
|          | ACCOUNTS RECEIVABLE          |           | 121,210   |
| <b>D</b> | ALLOWANCE FOR BAD DEBT       | 1,280     |           |
|          | ACCOUNTS RECEIVABLE          |           | 1,280     |
| <b>E</b> | NOTE RECEIVABLE              | 40,900    |           |
|          | SALES                        |           | 40,900    |
| <b>F</b> | PURCHASES                    | 1,005,000 |           |
|          | FREIGHT IN                   | 610       |           |
|          | ACCOUNTS PAYABLE             |           | 1,005,000 |
|          | CASH                         |           | 610       |
| <b>G</b> | PATENT                       | 400,000   |           |
|          | CASH                         |           | 400,000   |
| <b>H</b> | AMORTIZATION EXPENSE         | 25,000    |           |
|          | PATENT OR ACCUMULATED AMORT. |           | 25,000    |
| <b>I</b> | INVENTORY (NEW)              | 1,019,700 |           |
|          | COGS                         | 1,006,400 |           |
|          | INVENTORY (OLD)              |           | 1,020,490 |
|          | PURCHASES                    |           | 1,005,000 |
|          | FREIGHT IN                   |           | 610       |
| <b>J</b> | BAD DEBT EXPENSE             | 2,180     |           |
|          | ALLOWANCE FOR BAD DEBT       |           | 2,180     |

## Job #2: Bank Reconciliation (52 points)

Chi-Bears Company has the following information regarding their bank reconciliation for May 2021. A note receivable was collected by the bank for \$3,000 + interest, see the note below. There was one check from a customer that was returned as an NSF check and bank fees charged are below. There are no outstanding checks or deposits at the end of May.

(14 shaded squares @ 2 points each = 28 points total)

|                                                                   |  |             |
|-------------------------------------------------------------------|--|-------------|
| <b>Chi-Bears Company<br/>Bank Reconciliation<br/>May 31, 2021</b> |  |             |
| Bank Statement                                                    |  |             |
| Beginning Balance                                                 |  | \$32,350.74 |
| Deposits                                                          |  | 16,381.43   |
| Withdrawals                                                       |  | (10,878.08) |
| Ending Balance                                                    |  | \$37,854.09 |
|                                                                   |  |             |
| General Ledger Cash                                               |  |             |
| BALANCE                                                           |  | \$35,172.09 |
| ADDITIONS:                                                        |  |             |
| Noted Collected                                                   |  | 3,000.00    |
| Interest Collected                                                |  | 75.00       |
| SUBTRACTIONS:                                                     |  |             |
| NSF Check                                                         |  | (369.00)    |
| Bank Service Charges                                              |  | (24.00)     |
| ENDING BALANCE                                                    |  | \$37,854.09 |

## Journal Entries (2 points per account, 2 points per amount: 24 total)

| Account              | DR       | CR       |
|----------------------|----------|----------|
| 1.                   |          |          |
| Cash                 | 3,075.00 |          |
| Note Receivable      |          | 3,000.00 |
| Interest Revenue     |          | 75.00    |
|                      |          |          |
| 2.                   |          |          |
| Accounts Receivable  | 369.00   |          |
| Bank Service Charges | 24.00    |          |
| Cash                 |          | 393.00   |

**Problem #3 (120 points)**

General Ledger balances after adjusting entries on December 31, 2021.

|                           |           |                      |           |
|---------------------------|-----------|----------------------|-----------|
| Cash and cash equivalents | \$742,200 | Buildings            | 1,000,000 |
| Accounts Receivable (net) | 89,450    | Acc. Dep. -Buildings | 60,000    |
| Accounts Payable          | 114,560   | Land                 | 75,000    |
| Notes Payable (Long Term) | 350,000   | Common Stock         | 2,500,000 |
| Machinery                 | 1,550,000 | Retained Earnings    | ?         |
| Acc. Dep. -Machinery      | 350,000   |                      |           |

**Shaded Amounts = 10 Points Each. Formatting = 20 Points; Formats may vary.**

| PETERSON CORPORATION                       |                  |               |                  |
|--------------------------------------------|------------------|---------------|------------------|
| BALANCE SHEET                              |                  |               |                  |
| DECEMBER 31, 2021                          |                  |               |                  |
| ASSETS                                     |                  |               |                  |
| Current Assets:                            |                  |               |                  |
| Cash and Cash Equivalents                  | 742,200          |               |                  |
| Accounts Receivable (net)                  | <u>89,450</u>    |               |                  |
| Total Current Assets:                      |                  |               | 831,650          |
| Fixed Assets                               |                  |               |                  |
| Land                                       |                  | 75,000        |                  |
| Machinery                                  | 1,550,000        |               |                  |
| Acc. Dep.-Machinery                        | (350,000)        | 1,200,000     |                  |
| Buildings                                  | 1,000,000        |               |                  |
| Acc. Dep.-Buildings                        | (60,000)         | 940,000       |                  |
| Total Fixed Assets                         |                  |               | <u>2,215,000</u> |
| TOTAL ASSETS                               |                  |               | <u>3,046,650</u> |
| LIABILITIES & STOCKHOLDER'S EQUITY         |                  |               |                  |
| LIABILITIES:                               |                  |               |                  |
| Current Liabilities                        |                  |               |                  |
| Accounts Payable                           | 114,560          |               |                  |
| Total Current Liabilities                  |                  |               | 114,560          |
| Long-Term Liabilities                      |                  |               |                  |
| Notes Payable                              | 350,000          |               |                  |
| Total Long-Term Liabilities                |                  |               | <u>350,000</u>   |
| TOTAL LIABILITIES                          |                  |               | 464,560          |
| STOCKHOLDER'S EQUITY                       |                  |               |                  |
| Paid In Capital                            |                  |               |                  |
| Common Stock                               | <u>2,500,000</u> |               |                  |
| Total Paid In Capital                      |                  | 2,500,000     |                  |
| Retained Earnings                          |                  | <u>82,090</u> |                  |
| Total Stockholder's Equity                 |                  |               | <u>2,582,890</u> |
| TOTAL LIABILITIES AND STOCKHOLDER'S EQUITY |                  |               | <u>3,046,650</u> |